Table 13: The signal and the S&P 500, 1988:01–2026:02 (monthly total returns; $\mathrm{ES}_{5\%}$ in %/month). Signal months are split by the downcurve regime as in Section 5.3. Panel B specification: $r_t^{SPX} = a + b\,\mathbf{1}\{\text{state}\}_{t-1} + e_t$ (the wedge adds $\mathbf{1}\{\text{signal}\}_{t-1} \times \mathbf{1}\{\text{downcurve}\}_{t-1}$); wild bootstrap p on signal episodes.

	N	Mean (%/yr)	Sharpe	Skew	$\mathrm{ES}_{5\%}$	Worst mo.
Panel A: conditional moments of monthly S&P 500 returns						
No signal	366	+10.42	0.76	−0.46	−8.45	−15.76
Signal on	92	+1.93	0.11	−1.10	−12.66	−18.56
Signal, non-downcurve months	57	−1.01	−0.05	−1.27	−14.53	−18.56
Signal, downcurve months	35	+6.71	0.46	−0.22	−8.52	−9.91
Panel B: state regressions and hazard (wild bootstrap p on signal episodes)						
S&P on signal: $b = -8.50$ ($t_{ep} = -1.17$, wild $p = 0.261$);						
on non-downcurve months: $b = -11.11$ ($p = 0.344$)						
bottom-decile hazard: 16.3% in-signal vs. 8.5% outside (difference wild $p = 0.087$)						
downcurve wedge: signal in non-downcurve months −11.43 ($p = 0.294$);						
signal × downcurve +7.71 ($p = 0.490$)						
Panel C: overlays (no transaction costs)						
Buy and hold	458	+8.72	0.60	−0.73	−9.91	−18.56
Exit on signal	458	+8.33	0.67	−0.36	−8.06	−15.76
Exit on non-downcurve months	458	+8.84	0.68	−0.38	−8.27	−15.76